

China Daily Brief

Wednesday, September 16, 2026

3,117 words · 12 min read

RE: Bessent-He Lifeng NY talks · Dong Jun's softer Xiangshan tone · HK's first five-year plan · new exit-entry rules

USD/CNY
6.6955
▼ -0.22%

SSE COMPOSITE
3,891.60
▼ -1.09%

HANG SENG
24,713.78
▼ -2.22%

BRENT
\$107.56
▲ +2.82%

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Analysis](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 Treasury Secretary Bessent will meet Vice Premier He Lifeng in New York this weekend for trade talks ahead of Xi's Sept. 24 Washington visit, per the Financial Times.
- 2 Defense Minister Dong Jun opened the 13th Xiangshan Forum with a notably softer tone toward Washington, per Tsinghua's Zhou Bo, while still urging an end to 'provocative acts.'
- 3 Hong Kong Chief Executive John Lee unveiled the city's first-ever five-year plan, aligning local goals with Beijing's national blueprint for the first time.

US-CHINA

Bessent to meet He Lifeng in New York ahead of Trump-Xi summit

Treasury Secretary **Scott Bessent** will meet Vice Premier **He Lifeng** in New York this weekend, according to the Financial Times, as the one-year US-China trade truce reached at May's Beijing summit nears expiry. The talks precede Xi Jinping's Sept. 24 state visit to Washington, the first Chinese leader visit to the US since 2015.

FINANCIAL TIMES

PLA

Dong Jun opens Xiangshan Forum with softer tone toward US

Defense Minister **Dong Jun** opened the 13th Xiangshan Forum in Beijing on Wednesday, urging nations to end 'provocative acts' and expand AI oversight, Reuters reported. **Zhou Bo**, a retired PLA senior colonel now at Tsinghua University's Centre for International Security and Strategy, told the South China Morning Post Dong's tone toward the US was 'relatively mild' compared with past addresses. The forum, marking its 20th anniversary, drew roughly 2,000 delegates from more than 100 countries and organizations, per the Ministry of National Defense.

REUTERS; SCMP (ZHOU BO)

PRC-ECONOMY

Hong Kong unveils first-ever five-year plan, aligns with Beijing

Hong Kong Chief Executive **John Lee** unveiled the city's first-ever five-year plan on Wednesday, aligning local development goals with Beijing's national blueprint for the first time, the Washington Post reported. The nearly three-hour address, Lee's last policy speech of his term, set a target to raise R&D spending to 3 percent of GDP by the early 2030s from 1.63 percent in 2024, per the South China Morning Post. Lee said the blueprint, which centers Hong Kong's role as an offshore yuan hub, was drafted locally with reference to mainland Chinese cities' plans.

THE WASHINGTON POST

SANCTIONS

China's new exit-entry rules can block citizens over tech export violations

New Chinese exit and entry rules explicitly tied to national security took effect Tuesday, giving authorities expanded legal grounds to bar citizens from leaving the country over national security concerns or technology export control violations, AP reported. Nikkei Asia reported the rules formalize a tightened legal framework for border control under **Xi Jinping's** push to safeguard state secrets, advanced technology and skilled workers.

AP NEWS

TECHNOLOGY

Nvidia CEO Huang to attend Trump's state dinner for Xi

Nvidia CEO **Jensen Huang** will attend the White House state dinner for **Xi Jinping's** Sept. 24 Washington visit, CNBC reported, citing a source familiar with the plans. Huang has publicly sided with Trump against Silicon Valley warnings on the risks of rapid AI advancement, as the administration weighs AI-cooperation frameworks ahead of the summit.

CNBC

CROSS-STRAIT China would face a 'hellscape' in a war over Taiwan · The Economist

The Economist assesses China would face what it calls a 'hellscape' scenario in a war over Taiwan, given the risks of a broader US and allied military response. The piece appears as Beijing softens its public tone toward Washington, with Dong Jun striking a notably milder note at Wednesday's Xiangshan Forum.

TECHNOLOGY As the world debates AI risks, China closes the technology gap with the US · AP News

AP News reports China is closing the technological gap with the US in artificial intelligence even as the world debates the risks of rapid AI development. The report comes as Washington and Beijing prepare for AI-related discussions ahead of Xi's Sept. 24 Washington visit.

TECHNOLOGY Musk urges top AI labs, Chinese companies to test each other's models · CNBC

Elon Musk called on leading AI labs, including Chinese companies, to peer-review each other's models before public release as a way to evaluate safety risks, CNBC reports. The proposal comes amid growing calls in Washington and Beijing for guardrails on rapid AI deployment.

TECHNOLOGY Trump has few good options to slow China's rise as AI superpower · Bloomberg

Bloomberg examines Washington's limited options for slowing China's rise as an artificial-intelligence power despite existing chip export controls and tariffs. The piece surveys the tools available to the Trump administration ahead of the Sept. 24 Xi-Trump summit.

DIPLOMACY AI is not a 'monopoly of great powers', China's top newspaper says · Reuters

Reuters reports a commentary in China's official press argued artificial intelligence should not be a 'monopoly of great powers,' pushing back on narratives of Western AI dominance. The commentary appeared days before Xi's Sept. 24 Washington visit for talks with Trump.

DIPLOMACY China is not ready for a post-American world · The Economist

The Economist argues China is not yet prepared to assume a leadership role in a world with diminished US influence, despite Xi's recent multilateral diplomacy push. The piece follows Xi's back-to-back appearances at the SCO's Bishkek summit and the BRICS summit in New Delhi this month.

SOCIETY In the age of AI, some in China wonder if learning English is worth it · The New York Times

A Chinese math teacher's viral post questioning whether English study is still worth the effort amid advancing AI translation tools has sparked a national debate, the New York Times reports. Commentators are split between framing English as an optional skill and a symbol of Western dominance.

DIPLOMACY Opinion: China and the US aren't in a Cold War · The Washington Post

A Washington Post opinion piece argues the US-China relationship, despite mounting technological and military competition, does not meet the historical definition of a Cold War. The column appears as Bessent prepares to meet He Lifeng in New York ahead of Xi's Sept. 24 visit.

- TECHNOLOGY** China's AI leaders keep quiet despite US 'publicity' on tech risks · CNBC
Chinese AI firms Z.ai, Moonshot, MiniMax, Alibaba and Tencent declined to comment when CNBC asked about recent Silicon Valley warnings on AI risk. Their silence contrasts with public statements from figures like Elon Musk calling for cross-border model testing between US and Chinese AI labs.
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- DISASTER** How an ice-rock avalanche caused the deadly China-Nepal floods · AFP Fact Check
AFP's fact-check team traces the deadly China-Nepal border floods to an ice-rock avalanche, adding scientific detail after weeks of rescue operations along the Gyirong border crossing. The disaster killed multiple people and left others missing across August and September.
-

● US-CHINA

TARIFF · BLOOMBERG

US-China discuss cutting some tariffs as leaders prepare to meet

Bloomberg reports the US and China are discussing cuts to certain tariffs as Trump and Xi prepare for their Sept. 24 Washington summit. The talks follow the May 14-15 Beijing summit framework, under which both sides agreed to restore prior Section 301 tariff levels rather than raise them further.

MILITARY · REUTERS

China warns US space weapons could fuel arms race

China's Foreign Ministry warned reported US deployment of orbital weapons could fuel a space arms race, with spokesperson Guo Jiakun urging Washington to 'stop expanding its arms race and war preparations in outer space.' Reuters separately reported the US acknowledgment of orbital weapons marks a landmark moment in the space competition with China and Russia.

EXPORT CONTROLS · WSJ

US pressures Mexico to box out China's AI hardware exports

The Wall Street Journal reports Washington is pressuring Mexico to block Chinese AI hardware from transiting Mexican supply chains into the US market. The push extends existing US efforts to close third-country loopholes in chip and AI-hardware export controls.

DIPLOMACY · FINANCIAL TIMES

Why the US and China are at odds on AI threats

The Financial Times examines why technological rivalry between Washington and Beijing is making it harder for the two sides to agree on managing AI's potentially existential risks. The piece comes as both governments prepare AI-safety discussions ahead of the Sept. 24 Xi-Trump summit.

CONGRESS · REUTERS

Johnson says no moratorium on AI, would give China competitive edge

House Speaker Mike Johnson said he opposes a moratorium on AI development, arguing it would hand China a competitive edge, Reuters reports. The comment comes amid ongoing congressional debate over federal AI regulation and state-level preemption.

DIPLOMACY · FINANCIAL TIMES

The main Trump-Xi summit achievement will be it happening at all

The Financial Times argues the main achievement of the Trump-Xi summit will be that it happens at all, describing the US-China relationship as a standoff rather than a state of agreement. The assessment comes as Bessent prepares to meet He Lifeng in New York this weekend.

CROSS-STRAIT · TAIPEI TIMES

China might issue permit for Taiwan labor minister's Nanjing APEC trip

Taiwan Minister of Labor Hung Sun-han is set to attend an APEC ministerial meeting in Nanjing next week, becoming the first minister in William Lai's administration to visit China, the Taipei Times reports. Beijing might arrange a Taiwan compatriot permit for him, though the host has confirmed he will enter using his invitation letter.

CROSS-STRAIT · TAIPEI TIMES

Up to 100,000 in Taiwan spying for China: expert

Between 50,000 and 100,000 Chinese spies are operating in Taiwan, far exceeding the National Security Bureau's previous public estimate of 5,000, German researcher Jurgen Kremb said at a Taipei event. Kremb, a visiting academic at Soochow University, described most as informants and sources rather than formally employed intelligence officers.

JAPAN · TAIPEI TIMES

Okinawa vote likely to boost Japan's defense buildup, Taiwan security: Scholars

Conservative-backed Genta Koja unseated two-term Okinawa governor Denny Tamaki on Sunday, ending the anti-Henoko camp's 12-year hold on the governorship with 59.4 percent of the vote. Academics said the result could accelerate Japan's defense buildup across its southwestern island chain, calling it reassuring for Taiwan.

MIDDLE EAST · REUTERS

China's top diplomat urges Iran, US to show restraint, revive talks

Foreign Minister Wang Yi met Iranian counterpart Araghchi in Beijing and urged Iran and the US to show restraint and revive talks, Reuters reports. The meeting came days before Xi's Sept. 24 Washington visit, with China also urging the reopening of the Strait of Hormuz.

EUROPE · REUTERS

EU will use all tools to cut China trade deficit, von der Leyen says

European Commission President Ursula von der Leyen said the EU will use all available tools to cut its trade deficit with China, Reuters reports. The remarks come as Brussels weighs new procurement rules and other measures targeting Chinese industrial overcapacity.

EUROPE · BLOOMBERG

Merz calls for trade tools to fight 'unfair' China competition

German Chancellor Friedrich Merz called for trade tools to counter 'unfair' Chinese competition, Bloomberg reports. The remarks add to a chorus of European leaders, including von der Leyen, pressing for tougher measures against Chinese industrial overcapacity.

KOREA · NIKKEI ASIA

US weighs buying warships from Japan, South Korea to counter China

The US Navy is considering procuring warships built in allied countries including Japan and South Korea, multiple naval officials told Nikkei Asia. The move would mark a shift in US shipbuilding strategy amid concerns over China's naval expansion and the declining US domestic shipbuilding base.

AUSTRALIA-PACIFIC · TAIPEI TIMES

Taiwan deserves a 'seat at the table,' Tuvaluan diplomat says

Tuvaluan Foreign Minister Paulson Panapa said Taiwan's leadership in healthcare, digital innovation and disaster response warrants a 'seat at the table' during his first official visit to Taipei. He met President Lai

Ching-te at the Presidential Office, citing the Kaitasi Treaty signed between the two countries last November.

• STAT OF THE DAY

100,000

Estimated Chinese spies operating in Taiwan

German researcher Jurgen Kremb's estimate of 50,000-100,000 is up to twenty times Taiwan's National Security Bureau's previous public figure of 5,000, per the Taipei Times.

Taipei Times

MACRO · AFP

China's retail sales growth slows to weakest pace since May

China's retail sales grew 0.4 percent year-on-year in August, the slowest pace since May and a second consecutive monthly slowdown, while industrial production rose 5.2%, up from July's 4.5%, per NBS data cited by AFP. The NBS said the economy 'operated steadily' but flagged an intensifying imbalance between strong supply and weak demand, with growth target held at 4.5-5%.

TECH / AGRICULTURAL BANK OF CHINA, CHINA CITIC BANK, INDUSTRIAL BANK · SIXTH TONE

Beijing links AI token usage to company loans

A Beijing E-Town government program has extended nearly 2 billion yuan (\$300 million) in 'token loans' to AI companies, using token consumption rather than physical assets or profits as loan collateral across six banks. China's daily token consumption exceeded 500 trillion in June and could reach 100 quadrillion by year-end, per China Telecom Research Institute estimates.

AUTO · BLOOMBERG

China signals it's finally starting to tackle glut in car market

Bloomberg reports Beijing is signaling the first concrete steps to address a persistent supply glut in China's car market after years of price wars eroding automaker margins.

ENERGY · BLOOMBERG

Shrinking Chinese fuel inventories raise chance of export curbs

Shrinking Chinese fuel inventories are raising the likelihood Beijing imposes export curbs on refined products, Bloomberg reports, as domestic stockpiles decline.

FINANCE · REUTERS

Chinese investors rush into US stocks as Beijing opens wider path overseas

Chinese retail investors are rushing into US equities as Beijing widens outbound investment channels, Reuters reports, even as domestic mainland indices underperform.

TECH · BLOOMBERG

US drug giants are scouring China for cutting-edge discoveries

US pharmaceutical companies are increasingly scouring China for early-stage drug discoveries, Bloomberg reports, as Chinese biotech firms accelerate novel therapeutic development.

MACRO / BNP PARIBAS · HKEJ

BNP Paribas: September data pivotal for China's growth target

BNP Paribas (China) chief economist Rong Jing said Beijing's full-year growth target of at least 4.5 percent makes September data pivotal given roughly 4.2% H2 growth so far; a Q3 GDP print near 4% could prompt a 'prudent and precise' stimulus such as an additional 500 billion yuan in local government bonds.

中国人民银行 · PBOC · *People's Bank of China*

Reports August credit data as new financial-sector five-year plan takes effect

M2 rose 7.5 percent year-on-year to 356.81 trillion yuan and outstanding RMB loans rose 4.9% to 282.35 trillion yuan at August's end; aggregate social financing increased 23.91 trillion yuan over the first eight months of 2026, with the financing stock up 7.2% year-on-year.

→ [PBOC ZH](#) ↗

商务部 · MOFCOM · *Natural Resources / Culture and Tourism / Forestry authorities (joint notice)*

Issues joint notice easing land-use rules for tourism industry development

The notice allows camping, glamping and other eco-tourism activities inside ecological protection zones outside core reserve areas, and permits combining multiple land parcels under one project for unified planning and supply.

→ [MOFCOM ZH](#) ↗

外交部 · MOFA · *Cai Wei, Assistant Foreign Minister*

Meets former Dominican Republic president Mejía

The Foreign Ministry's website announced the meeting without disclosing further readout details.

→ [MOFA ZH](#) ↗

外交部 · MOFA · US ORBITAL WEAPONS DEPLOYMENT

WARNING · TO US

Guo Jiakun ¹ · MOFA spokesperson

“China has always upheld the peaceful use of outer space and safeguarded outer space security, and opposes the weaponization, militarization and arms race in outer space. We urge the US side to stop expanding its arms race and war preparations in outer space, and take concrete actions to safeguard global strategic stability.”

中国一贯坚持和平利用外空，维护外空安全，反对外空武器化、战场化和军备竞赛。敦促美方停止在外空扩军备战，以实际行动维护全球战略稳定。

Responds to reports the US has acknowledged deploying weapons in orbit, which Reuters separately described as a landmark admission in the space race with China and Russia.

Xinhua

国防部 · MND · XIANGSHAN FORUM OPENING REMARKS

ROUTINE · TO OTHER

Dong Jun ¹ · Defense Minister

“We should uphold a new vision of security to build consensus, safeguard stability through multilateralism, guard against risks with historical clarity, resolve problems through dialogue and consultation, and deepen cooperation to promote lasting peace and universal security in the world.”

我们应坚持以新安全观凝聚共识，以多边主义维护稳定，以历史清醒防范风险，以对话协商解决问题，以共同发展打牢根基，以行动导向深化合作，推动实现世界持久和平、普遍安全。

Delivered in Dong's keynote opening the 13th Xiangshan Forum's 20th-anniversary edition in Beijing, days before Xi's Sept. 24 Washington visit.

MND

外交部 · MOFA · TAIWAN'S PLANNED PHILIPPINES OFFICE

FIRM · TO TAIWAN

Guo Jiakun ¹ · MOFA spokesperson

“No matter how the DPP authorities collude with external forces, it is futile and doomed to fail.”

民进党当局无论怎么勾连外部势力，都是枉费心机、注定失败

Responds to reports Taiwan authorities plan to open a representative office in Cebu, Philippines.

MOFA presser ZH

国台办 · TAO · 'ONE COUNTRY, TWO SYSTEMS' TAIWAN FORMULA

FIRM · TO TAIWAN

TAO spokesperson ¹ · Taiwan Affairs Office spokesperson

“The earlier and more Taiwan compatriots discuss the 'one country, two systems' Taiwan proposal, the more opportunities it can bring.”

台湾同胞越早讨论、越多讨论“两制”台湾方案，就越能带来机遇

Comment came during TAO's regular briefing addressing cross-strait political proposals.

TAO ZH

Pan Gongsheng · PBOC Governor

“We will continue to advance the transformation of the monetary policy framework and build a scientific and robust monetary policy system, placing greater emphasis on price-based regulation and improving market-based mechanisms for interest rate formation, regulation and transmission.”

持续推进货币政策框架转型，构建科学稳健的货币政策体系...更加注重发挥价格型调控的作用，健全市场化的利率形成、调控和传导机制。

Published in a signed Qiushi journal article as Pan separately called China's slower loan growth 'the new normal,' per Reuters.

PBOC ZH

• WHAT OTHERS ARE SAYING

TAIPEI TIMES · SEP 16, 2026

Alex Huang · Taiwan National Security Council adviser

“The goal is to weaken Taiwan. China does not need to attack you, it just needs to keep you arguing among yourselves.”

Huang made the remarks to the Liberty Times regarding Chinese efforts to influence extremist candidates within Taiwan's political system.

source

TAIPEI TIMES · SEP 16, 2026

Paulson Panapa · Tuvaluan Minister for Foreign Affairs, Labour and Trade

“Taiwan's leadership in health, digital innovation, and disaster response enriches the global community. It is only right that such expertise has a seat at the table.”

Panapa spoke during his first official visit to Taiwan in his current role, meeting President Lai Ching-te at the Presidential Office.

source

CROSS-STRAIT

TAIPEI TIMES

China turns Taiwan tensions into TV spy drama

A Chinese spy drama co-produced by the Ministry of State Security dramatizes decades of Taiwan-China espionage, becoming a ratings hit since its Sept. 6 premiere.

TAIPEI TIMES

Taiwan ranks 7th in civil participation globally

Taiwan ranked 7th globally in civil participation in IDEA's Global State of Democracy Report, tied with Finland for a second straight year.

INDO-PACIFIC

TAIWAN NEWS

Japanese, US lawmakers unite on China deterrence to avoid Taiwan conflict

Japanese and US lawmakers called for stronger joint deterrence against China to avoid a Taiwan conflict, Taiwan News reports.

ENERGY

NIKKEI ASIA

Taiwan's DPP rethinks nuclear power opposition in AI era

Taiwan's ruling DPP faces pressure to reconsider its longstanding opposition to nuclear power amid rising AI-driven electricity demand, Nikkei reports.

TECHNOLOGY

FINANCIAL TIMES

Chinese restaurant chains put AI on the menu

Chinese restaurant chains are deploying AI to cut food waste and labor costs, the Financial Times reports.

JIEMIAN

Ant Group unit takes stake in Weihai electronic materials firm

An Ant Group unit took a stake in Weihai-based Ju Qiao Industrial Technology, raising its registered capital to about 8.29 million yuan from 7.51 million.

ECONOMY

SCMP

'Wall-hanging' trend: jobless Chinese youth work one day, 'lie flat' for three

A growing 'wall-hanging' trend sees jobless Chinese youth working one day and 'lying flat' for three, SCMP reports amid a tough graduate job market.

DIPLOMACY

PEOPLE'S DAILY

People's Daily accuses US of politicizing tech issues

A People's Daily commentary accused the US of politicizing technology issues, calling it 'America's old hegemonic tactic' amid the AI safety dispute.

● UPCOMING

Sep
18

Mukden Incident 95th anniversary

A recurring Japan-China flashpoint date; watch for Chinese state-media commentary.

Sep
22

UNGA high-level week opens, New York

Wang Yi and other senior officials typically hold bilateral meetings on the margins.

Sep
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015; Bessent-He Lifeng NY meeting this weekend precedes it.

Oct
1

PRC National Day, 77th anniversary

Standard national holiday period; watch for any Taiwan Strait activity around the date.

Nov
10

Busan one-year suspensions approach lapse

The BIS Affiliates Rule and China's Oct. 2025 rare-earth export controls suspensions lapse around this date unless extended.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

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[↑ BACK TO TOP](#)

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